

Daily Need to Know

Friday, 4 September 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED 16:00 ET THU 3 SEP (04:00 GMT+8), ROUGHLY TWO HOURS OLD			
S&P 500	7,747.71	▲ +1.06%	+81.11pts. Opened on the low (7,686.71) and closed 9pts off the high. Above Hedgeye's 7,744 ceiling — 102.6% of band.
Nasdaq Composite	26,584.06	▲ +1.40%	+366.23pts, the day's leader. Sits at 99.2% of the 25,825–26,590 band — six points from the ceiling.
Dow Jones Industrials	53,686.11	▲ +1.18%	+624.16pts, best session since 4 August per TheStreet. Range 53,286–53,747.
Russell 2000	2,968.27	▲ +0.51%	Half the S&P's move. Small caps did <i>not</i> lead a rate-relief rally — that is the odd part.
Philadelphia SOX	11,352.12	▲ +0.11%	The day's tell. Semis flat against a +1.40% Nasdaq. Range 11,056–11,371 — a 2.8% swing that finished nowhere. Still 22.5% below the 22 June high of 14,655.
US INDEX FUTURES — LIVE AT 06:07 GMT+8 (18:07 ET), ~2H INTO THE GLOBEX SESSION			
ES (E-mini S&P)	7,754.75	▲ +1.02%	Basis to cash +7.04 (+0.09%) — normal, confirms the cash settle. Session low 7,661.25.
NQ (E-mini Nasdaq-100)	29,524.75	▲ +1.16%	Range 29,075–29,584. Volume 530k lots. Holding the top of its range into the payrolls print.
YM (E-mini Dow)	53,745	▲ +1.17%	Basis +58.9 (+0.11%). Thin volume, 69,805 lots.
RTY (E-mini Russell)	2,969.70	▲ +0.37%	Basis +1.43. The laggard again — futures agree with the cash message.
US TREASURY YIELDS — LIVE CASH MARKET, 06:07 GMT+8			
10-year	4.772%	▼ -0.8bp	Wednesday's 4.818% was the highest since November 2023. 57.5% of the 4.68–4.84% band; the probe of the ceiling failed.
30-year	5.252%	▼ -0.8bp	Above 5.30% earlier this week — highest since 2007. 30s10s +48.0bp.
5-year	4.522%	▼ -1.4bp	Intraday low 4.474%, so most of the rally was given back after the equity close.
2-year	4.340%	▼ -3.1bp	The biggest move on the curve — this is the Waller trade. 10s2s +43.2bp , steeper on the day.
13-week bill	3.838%	▼ -2.6bp	Closed on the session low. 10y less 3m = +93.4bp; the curve is positively sloped throughout.
ENERGY — LIVE FUTURES, 06:07 GMT+8			
WTI (CL1)	\$91.30	▲ +0.32%	Fourth straight higher session; +~10% on the week. Range 89.57–93.14 — a \$3.57 war-premium swing in one session. 66% of Hedgeye's 86.13–93.94 band.
Brent (BZ1)	\$95.52	▼ -0.12%	Brent-WTI spread \$4.22 . Brent fell while WTI rose — a narrowing spread argues the bid is US-specific, not a global supply scare.
Natural gas (NG1)	\$2.913	▼ -1.45%	Completely disconnected from the crude bid. EIA has end-October storage at a record ~3,985 Bcf. Hedgeye is bullish trade and trend here on day two.
RBOB gasoline	\$3.1349	▲ +1.00%	Outpaced crude — the crack widened. The consumer-facing end of the oil move is the one that reaches CPI.
METALS — SPOT ROLLED AT 05:00 GMT+8, SO SPOT CHANGE COVERS ~67 MINUTES ONLY; FUTURES SHOW THE SESSION			
Gold spot	\$4,475.85	◆ +0.07%	Flat since the 17:00 ET roll. The session move is GLD +1.85% and COMEX GC1 +2.84% . Futures-spot basis \$64.05 (1.43%) — wide.
Silver spot	\$67.02	◆ +0.10%	Same roll artefact. Session: SLV +2.51%, SI1 +3.42%. 67% of the 63–69 band, signal <i>neutral</i> .
Copper spot	\$6.5441	◆ +0.03%	Session: HG1 +1.08%. Copper is the one metal that did <i>not</i> keep pace — 46.5% of band while gold and silver ran.
CURRENCIES AND VOLATILITY — FX ROLLED 05:00 GMT+8; DXY AND VIX CARRY THE FULL SESSION			
US Dollar Index	99.001	▼ -0.58%	Range 98.831–99.612 is a full-session range. 26.7% of the 98.75–99.69 band; Hedgeye signal <i>bearish</i> and the tape agreed.
USD/JPY	155.864		

ASSET	LAST	CHANGE	NOTE
		◆ +0.04%	The single most dislocated level in this table. The 67-minute change is noise; the session was a >2% yen rally. At 155.864 the pair is below Hedgeye's 156.01 floor.
USD/KRW	1,356.19	▼ -0.25%	Range 1,354.50–1,361.50, genuinely wider — the won session overlaps this window. Won firmer into Seoul's open.
VIX	14.31	▼ -5.79%	Closed on the session low (14.23 intraday). 12.2% of a 14.01–16.47 band — pinned to the floor the night before payrolls.
Bitcoin	\$81,465	▲ +5.37%	Genuinely live, and the only 24-hour row here. Range 76,937–82,225. Above Hedgeye's 80,106 ceiling — 135.7% of band. First close above \$81k since May.

Reconciliation: cash index arithmetic is self-consistent (S&P 7,747.71 – 81.11 = 7,666.60 prior close; 81.11 ÷ 7,666.60 = 1.058%). All four futures-cash bases are positive and small (+0.05% to +0.11%), which is what confirms the cash rows are true settles rather than mislabelled intraday marks. Spot metals and spot FX rolled at 05:00 GMT+8 and their change columns therefore measure roughly 67 minutes — they are marked ◆ and are not session moves. Full detail in section 18.

TL;DR

One Fed governor moved the entire tape. Christopher Waller told a Reuters event he is willing to hold in September if disinflation continues, and CME FedWatch odds of a **25bp hike** on 16 September fell from about 62% to roughly **50%**. Every asset repriced off that single sentence: the 2-year fell 3.1bp, the dollar fell 0.58%, gold futures rose 2.84%, Bitcoin rose 5.37%, and the S&P closed **above** the top of Hedgeye's risk range at 7,747.71. But the S&P also made no record — it is 0.9% below its 52-week high — and the Philadelphia SOX went up 0.11% on a day the Nasdaq went up 1.40%, because Broadcom fell 2.74% on Q4 guidance despite a 221% jump in AI revenue. That is the whole brief in one line: **the market rallied on the rates story and quietly de-rated the AI-infrastructure story at the same time.** The VIX closed at 14.31, twelve percent off the floor of its own band, the night before an August payrolls print consensus puts between +50k and +58k after July's –23k. This is not a market positioned for a surprise.

2 The big picture — what it means

1. The debate is hike-or-hold, not cut-or-hold, and almost nobody outside the US has internalised that. The funds rate is 3.50–3.75%. The July FOMC held on a 9–3 vote with Hammack, Kashkari and Logan all dissenting *in favour of a hike* — the first time since September 2016 that three policymakers dissented in the same direction. Chair Kevin Warsh's Jackson Hole keynote on 28 August took hike odds from roughly 35% to roughly 66%. Waller's Thursday remarks knocked them back to a coin flip. The distribution of outcomes for September is now genuinely two-sided at 50/50, and it will be settled by the 11 September CPI, not by tomorrow's payrolls. Waller said so himself; BofA says so explicitly.

2. The rally was bought at the top of the range, which is the least attractive place to buy it. The S&P closed at 7,747.71 against a Hedgeye immediate-term ceiling of 7,744 — 102.6% of band. The Nasdaq Composite finished at 99.2% of its band. When an index closes above the top of its own risk range on a macro headline, the arithmetic of mean reversion is working against the next buyer, not for them. Hedgeye's own note, written before the session, described the S&P as consolidating with a lower high and a higher low. That description no longer fits: Thursday made a higher high.

3. Semiconductors are being repriced away from the index, and Broadcom is the proof. Broadcom reported Q3 revenue of \$29.591bn, up 86% year on year, with AI semiconductor revenue of \$16.7bn, up 221% and 56% of the total. It raised FY27 AI revenue guidance to \$115bn from \$100bn and said FY28 could double that again. The stock fell 2.74%, having traded as much as 6% lower. What did it: Q4 revenue guided to \$34.8bn against \$35.05bn consensus — a \$250m miss on a number growing 93% — and a Q4 gross margin guided to 73% against 78% a year earlier, mechanical dilution from custom accelerators and HBM content. **A fifteen-percent raise to the AI revenue outlook was met with a selloff.** That is not a demand signal; it is a margin and a valuation signal, and it is the single most important thing in this brief for anyone with Asian semiconductor exposure.

4. Meanwhile the AI application layer was rewarded on exactly the same tape. Snowflake, reporting Wednesday evening, put up product revenue of \$1.49bn, up 37% and accelerating roughly 300bp sequentially, with cRPO up 42% against 38% last quarter, and raised full-year product revenue to \$6.07bn from \$5.84bn. The stock closed Thursday up about 20.8%. Ciena raised FY27 guidance to 30%-plus revenue growth and fell 11% on supply constraints. The market has drawn a line: it will pay for software that monetises AI and it will not pay for hardware that has to be financed. Which brings us to point five.

5. Oracle's 5.69% rally is a rates trade wearing an AI costume, and its 55% drawdown is the real story of 2026. Oracle has sold \$43bn of bonds and plans roughly \$20bn more in debt and \$20bn in equity this year; FY26 capex rose 162% to \$55.7bn and free cash flow ran to –\$23.7bn. S&P Global cut it to BBB– on 9 July, one notch above junk, naming OpenAI as a key credit risk. The stock trades 55% below its 52-week high of \$345.72. It went up on Thursday because the 2-year yield went down. 2026 did not kill AI capex; it repriced who pays for it. Balance-sheet funders are fine. Debt funders against concentrated, unrated counterparties are being marked as credit. Oracle reports on 10 September against a cited \$638bn backlog and that is now a genuinely binary event.

6. Volatility is priced for nothing to happen, twelve hours before something can. The VIX closed at 14.31, down 5.79%, on the session low, at 12.2% of a 14.01–16.47 band. The MOVE index fell 6.31% to 74.68 — sub-75 bond volatility. And Tier1 Alpha, cited by Keith McCullough, expects up to **\$17bn of non-discretionary vol-control buying** as a –2.6% return from 5 June rolls out of the three-month realised-volatility calculation. That flow is real and it is mechanical, but it is also self-reversing: the same models that buy when one-month realised vol sits below three-month

sell when it does not. A hot August CPI on 11 September, with WTI at \$91 and a 15% global tariff already in the price level, would reverse both the vol-control bid and the September hold at once.

7. The yen is the fault line under Asia, and it moved more than 2% while nobody was looking. USD/JPY broke 158, then 157.80, and printed 156.34 intraday before trading at 155.864 at capture — below the floor of Hedgeye's 156.01–159.11 band. The drivers were BOJ board member Hajime Takata calling for a "nimble rather than fixed pace" of further hikes, a Japan services PMI at a five-month high of 52.5 with near-record output-charge growth, and open speculation that the authorities ran a rate check. Hedgeye is short Japan on the view that Japan is "taking stagflation on purpose because of currency pressure". If the currency pressure is now reversing, that short is the position most exposed to being wrong-footed — and the Nikkei, at 9.6% of its own band, is already priced as though it has broken.

3 Rates, currencies & commodities

- **The curve steepened on the front end, which is the honest read of Waller.** The 2-year fell 3.1bp to 4.340% against 0.8bp on the 10-year and 0.8bp on the 30-year. 10s2s widened to +43.2bp. Markets did not buy a growth slowdown on Thursday; they bought a slightly later hike. That is a policy repricing, not a recession trade.
- **The long end is still the problem and the buyback is the tell.** The 30-year has traded above 5.30% this week, the highest since 2007, on deficits, sticky inflation and issuance. Treasury has at least doubled its long-end buyback caps from \$2bn to \$4bn for September to November; the announcement moved yields up to 9bp. When the issuer has to bid for its own paper to keep the long end orderly, an 0.8bp rally on a dovish headline is not much of a recovery.
- **The dollar fell for two independent reasons and only one of them is American.** Waller did roughly half the work; a >2% yen rally did the rest. Note what did *not* move: EUR/USD ended the capture at 1.16248, GBP/USD at 1.35242, AUD/USD at 0.71986 — all within a few pips of their 05:00 GMT+8 roll. The DXY's 0.58% decline is overwhelmingly a yen story wearing a dollar-index label.
- **Asian currencies firmed into the open.** USD/KRW −0.25% to 1,356.19, USD/TWD −0.27% to 31.6785. Both are constructive for Seoul and Taipei foreign inflows. Against that, the PBOC set the USD/CNY reference rate at 6.7807 on Thursday against an estimate of 6.7167 — a materially weaker-than-expected fix, and USD/CNH sits at 6.71688, within a whisker of its own 52-week low of 6.71465. Watch whether Friday's fix repeats it.
- **Crude carries a war premium that is being actively contested.** WTI at \$91.30 is up around 10% on the week on Iranian strikes against US bases and allies in Kuwait, the UAE, Bahrain and Jordan, and on a reported attack on a Bahri tanker that killed two seafarers. Set against that: CNN reported the US Navy escorted 40 commercial vessels carrying roughly 18m barrels through the Strait of Hormuz on 1 September, near pre-war throughput, and the WSJ reported Trump has privately told aides he favours declaring the roughly six-month conflict over. The premium is real; the supply disruption, so far, largely is not.
- **OPEC+ has no lever left.** The 2 August meeting approved +188,000 bpd for September, completing the unwind of roughly 3.5 mb/d of 2023 cuts. A separate ~2 mb/d tranche stays through end-2026, further increases are widely expected to be held through Q4, and several members cannot physically reach quota. There is no scheduled supply response available if Hormuz genuinely closes.
- **Gold's session move was 2.84% in futures and its basis is unusually wide.** COMEX GC1 at \$4,539.90 sits \$64.05 — 1.43% — above spot at \$4,475.85. GLD's +1.85% and spot's implied ratio corroborate each other exactly, so the spot mark is sound and the futures premium is the anomaly. Silver futures +3.42% outpaced gold; copper futures managed only +1.08%. Precious metals are trading as a monetary hedge, not as an industrial complex.
- **Wheat fell 2.55% after making a fresh contract high intraday.** December corn did the same. That is profit-taking and hedge pressure against an intact bull case: Russia and Ukraine account for over a quarter of global wheat exports, Russian August exports were down more than 50% year on year, and Russia has suspended its floating export duty through end-2026.

4 Hedgeye — regime, risk ranges & the Quad path

DASHBOARD	READING
Live risk-range set	Early Look, "Riding The Waves of Volatility", Daryl G. Jones, Director of Research — published 07:51 ET Thu 3 Sep = 19:51 GMT+8 Thu 3 Sep . Written before Thursday's cash session, so the bands are computed off Wednesday's close and Thursday's settles are measured against them below. Superseded by Friday's Early Look at roughly 19:50 GMT+8 tonight.
Quad path	No explicit path notation was printed in the Early Look, KM's Top 3, or the Macro Show summary read this morning. The path lives in the US Monthly Quad Forecast inside the Macro Week Summary Notes, behind a separate link that was not reached. Absence of a printed path is not evidence the path is unchanged — see section 18.
Core positioning	Short rate-sensitives (TLT, LQD, ZROZ, XLU) on a 10-year that is bullish TRADE <i>and</i> TREND. Long gold, GDX, Bitcoin/IBIT — but taking gains around event risk. Long health care "three ways" after adding biotech. Long software (IGV), oil services (OIH), financials, natural gas. Short Korea, Japan, China on bounces; META, GOOGL, TSLA bearish TREND.
Regime call	"Narrowing, not broadening." Keith sold the broadening trade last week, including RSP and VOX, and is concentrating into health care, energy, financials and software. Nine of eleven sectors rose Wednesday and he still would not own breadth.
ETF Pro changes, 13:11 ET Thu	Adding long: Natural Gas (UNG), Managed Futures (DBMF) . Adding short: Global Airlines (JETS) . Removing long: Dividend Aristocrats (NOBL), Turkey (TUR). Removing short: META Option Income (FBY). Signal Strength Stocks fell to 66 names, none added, three removed (JBS, BJRI, GRUSF).
Bond volatility	MOVE index 74.68, -6.31% — sub-75 , corroborating the calm-bond-vol framing. Set against a 30-year at 5.25% that was above 5.30% this week, this is the same fragility Jones flagged in equities.

Risk Range™ Signals as published 19:51 GMT+8 Thu 3 Sep, measured against the levels captured at 06:07 GMT+8 Fri 4 Sep. Metals measured on spot, energy on the continuous contract, per Hedgeye's own naming.

INSTRUMENT	IMMEDIATE-TERM RANGE	TREND	% OF BAND	WHERE IT STANDS NOW
S&P 500	7,602 – 7,744	bullish	102.6%	Through the ceiling by 3.7pts. Overbought on Hedgeye's own arithmetic.
NASDAQ Composite	25,825 – 26,590	bullish	99.2%	Six points from the top. Effectively the same signal as the S&P.
Russell 2000	2,910 – 3,016	bullish	55.0%	Mid-band. The only major US index with room in both directions.
UST 10-year yield	4.68% – 4.84%	bullish	57.5%	Probed the ceiling Wednesday at 4.818% and backed off. Working as designed.
UST 30-year yield	5.16% – 5.31%	bullish	61.3%	Upper half. Long-end pressure has not resolved.
UST 2-year yield	4.25% – 4.45%	bullish	45.0%	Fell to mid-band on Waller — the cleanest expression of Thursday.
High Yield (HYG)	78.91 – 79.50	bullish	50.8%	Dead centre. Credit expressed no view at all on Thursday.
Inv. Grade (LQD)	104.9 – 106.1	bearish	50.0%	Exact mid-band. An active Hedgeye short with no edge at this level.
Health Care (XLV)	170 – 177	bullish	46.6%	The highest-conviction long, and it only made +0.18% Thursday.
VIX	14.01 – 16.47	bearish	12.2%	Near the floor the night before payrolls. Asymmetric.
US Dollar Index	98.75 – 99.69	bearish	26.7%	Lower quartile and falling; signal and tape agree.
EUR/USD	1.156 – 1.171	bullish	43.2%	Barely moved. The euro was not part of Thursday's dollar story.
USD/YEN	156.01 – 159.11	bearish	-4.7%	Below the floor. The bearish signal has been fulfilled and then some.
GBP/USD	1.344 – 1.364	neutral	42.1%	Neutral signal, mid-band price. Nothing to see.
WTI (continuous)	86.13 – 93.94	bullish	66.2%	Upper third. Keith's "alpha code around 86 / 84" is the level to watch on any de-escalation headline.
Brent (continuous)	89 – 101	bullish	54.3%	Mid-band, and it fell while WTI rose. The spread is the interesting part.
Nat gas (continuous)	2.81 – 3.07	bullish	39.6%	Lower half after a -1.45% day, with UNG just added long. Buying the low end, by the book.
Gold spot	4,292 – 4,698	bullish	45.3%	Mid-band after a 2.84% futures session. The band is wide enough to absorb it.
Silver spot	63 – 69	neutral	67.0%	Upper third on a neutral signal — the weakest hand in the metals complex.
Copper spot	6.40 – 6.71	bullish	46.5%	Mid-band. Copper did not confirm the precious-metals move.
Bitcoin spot	76,302 – 80,106	bullish	135.7%	\$1,359 above the ceiling. The most extended instrument in the entire set.
Nikkei 225	64,004 – 66,190	bearish	9.6%	Bottom decile, 210pts off the floor, with the yen now below its own band floor. Crowded.

INSTRUMENT	IMMEDIATE-TERM RANGE	TREND	% OF BAND	WHERE IT STANDS NOW
Shanghai Composite	3,851 - 4,009	bearish	57.7%	Upper half on a bearish signal — Hedgeye's "short on bounces" setup.
German DAX	25,711 - 26,601	bullish	32.8%	Lower third after +0.63%. Room.
NVIDIA	209 - 231	bullish	88.4%	Upper decile after the Hugging Face deal. Little left in the band.
Microsoft	477 - 518	bullish	80.8%	Upper fifth on a +2.68% day with no discrete catalyst found.
Apple	312 - 331	bullish	85.3%	Extended. First full week with John Ternus as chief executive.
Amazon	250 - 267	bullish	52.4%	Mid-band. The least stretched megacap long.
Meta	547 - 599	bearish	122.5%	Through the ceiling. Keith: bullish TRADE, still bearish TREND. FBY short removed.
Alphabet	330 - 348	bearish	69.3%	Upper third against a bearish TREND — the setup Hedgeye shorts into.
Tesla	340 - 369	bearish	125.4%	Through the ceiling on Cybercab day. Bearish TREND, violently bullish TRADE.
Netflix	80 - 84	bullish	66.8%	Upper third. 34.7% below its 52-week high of \$126.71.

Band moves versus the prior session are **UNKNOWN**, not unchanged. The Early Look category page at /feed_items/all?with_category=24-early-look does not paginate — pages 2 and 3 return the identical note — and eleven direct feed-item probes around the expected Wednesday ID range surfaced the Macro Show, Signal Strength Stocks, a Digital Assets monitor and a Cloudflare interstitial, but not the 2 September Early Look. No floor, ceiling or band-width comparison should be inferred from this table.

WHAT KEITH ACTUALLY SAID

- On rates and the range, from **KM's Top 3 Things (10yr/Sectors/Flows), From The Desk, 07:20 ET = 19:20 GMT+8 Thu 3 Sep**: "10YR - still signaling Bullish on both our TRADE and TREND durations (that's why we're still short TLT, LQD, ZROZ, XLU, etc.), but the market probed the TRR (top-end of the Risk Range™ Signal) yesterday and backed off (that's what the RR is for!), so we'll see where the Jobs Report takes it."
- On breadth, same note: "who needs to be long our former 'broadening' position WHEN the US Equity Market Signal is no longer broadening? Try narrowing. And really try to narrow down the Sectors and Factors (like Healthcare & Energy) that are winning regardless of the narratives on breadth."
- On flows, same note: "if you were only to read the numbers in the Tier1 Alpha data this morning, this would be THE day that matters most this week because The Flows are coming back online, baby! T1 is thinking \$17 Billion to Buy in SPX with 1-month realized vol having collapsed below 3-month."
- Daryl G. Jones, from the **Early Look, 07:51 ET = 19:51 GMT+8 Thu 3 Sep**: "Elevated yields sitting next to a calm volatility index is a fragile pairing. It does not take much, a soft print or a hawkish comment, to send that VIX number higher in a hurry."
- Jones on the data, same note: "The factory floor and the hiring data are not telling the same story right now, and that gap is its own form of volatility."
- From **The Macro Show summary, 10:57 ET = 22:57 GMT+8 Thu 3 Sep** — reported outside quotation marks because Hedgeye labels these notes AI-enhanced and warns they may contain errors: Keith said he bought 10-day gold call options two days earlier and would likely sell some gold, possibly aggressively including the calls in full, because the jobs report and the coming CPI create two-sided risk. He said Japan is taking stagflation on purpose because of currency pressure and he would short Japanese stocks because of it. He said Nvidia held TRADE, held bullish TREND and went bullish TRADE intraday, flagging more than 535,000 of the 225-strike calls traded.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
Tesla (TSLA)	376.37	▲ +5.42%	\$1.49tn	Best of the seven, on Cybercab launch anticipation, not results. 45 Cybercabs registered with the Texas DMV ahead of the Giga Texas event. Above a bearish band ceiling.
Meta (META)	610.68	▲ +3.01%	\$1.56tn	Opened paid developer access to Muse Spark 1.3, claiming 75.4 on DeepSWE v1.1. Still 22.8% below its 52-week high of \$790.80.
Microsoft (MSFT)	510.12	▲ +2.68%	\$3.79tn	No discrete catalyst identified. Pure long-duration beta on a falling 2-year. 81% of band.
NVIDIA (NVDA)	228.45	▲ +1.80%	\$5.51tn	Agreed to buy Hugging Face for \$12.93bn — \$11.9bn to holders plus \$1bn retention equity, closing H1 2027. Its second-largest deal ever. Traded +3.35% intraday and gave half of it back.
Alphabet (GOOGL)	342.48	▲ +1.59%	\$4.17tn	Gemini 3.8 Flash and the Fairwind government programme are what spooked Palantir on Wednesday. Bearish TREND at 69% of band.
Amazon (AMZN)	258.90	▲ +1.54%	\$2.79tn	Mid-band and unremarkable. AWS is the named first-party host for OpenAI's new GPT-6 rollout.
Apple (AAPL)	328.21		\$4.79tn	

NAME	LAST	DAY	CAP	READ
		▲ +1.00%		The laggard of the seven. Tim Cook's last day as CEO was 31 August; John Ternus took over 1 September with Cook as executive chairman.

Market capitalisations are TradingView's market_cap_basic field captured at 06:07 GMT+8 and reflect the 16:00 ET close, not the after-hours prints in the row above. All seven rose; the equal-weighted Mag7 move of roughly +2.4% comfortably beat the S&P's +1.06%, which is the arithmetic behind Keith's "narrowing" call.

6 Positioning & options

- **The \$17bn number is the most actionable thing on the tape.** Tier1 Alpha, quoted by Keith McCullough from Craig Larson's note, expects the first meaningful wave of vol-control buying in some time as the −2.6% return from 5 June rolls out of the three-month realised-volatility window. In a flat market that is up to \$17bn of net non-discretionary SPX demand. It is mechanical, it is price-insensitive, and it is why a 1.06% up day happened on a Fed governor's remarks rather than on anything structural.
- **The VIX at 14.31 is 12.2% of its own band, on the session low, into an event.** Options are not priced for a payrolls surprise in either direction. A −5.79% VIX day into a print that could settle a 50/50 FOMC is the definition of asymmetric.
- **Bond vol collapsed alongside it.** MOVE −6.31% to 74.68, well inside a 55.77–115.02 twelve-month range. Both equity and rates volatility are being sold at the same time, which historically is when they correlate on the way back up.
- **Nvidia call activity was extreme.** Keith flagged more than 535,000 of the \$225-strike calls traded on Thursday. NVDA closed at \$228.45, above the strike, at 88.4% of its risk range. That is a positioning overhang into any semiconductor wobble.
- **Hedgeye removed a short and added one.** Removing the META Option Income (FBY) short concedes Meta's bullish TRADE. Adding Global Airlines (JETS) short is a fresh expression of \$91 crude reaching the consumer. Adding Managed Futures (DBMF) long is a volatility-regime hedge, not a directional call — worth noting on a day the VIX hit the floor of its band.
- **Nine of eleven sectors rose Wednesday and eight of eleven rose Thursday, and Hedgeye still would not own breadth.** RSP, the equal-weight S&P, added +0.66% against SPY's +1.05% — the cap-weighted index beat the equal-weighted by 39bp. Breadth participated; it did not lead.
- **ARK sold 139,456 Palantir shares, roughly \$26.0m, across ARKK, ARKW and ARKF on 31 August** — into a name that then fell 6% on Wednesday and rose 7.71% on Thursday. Worth holding against the enthusiasm.

7 Sector rotation — leaders & laggards

SPDR SECTOR	LAST	DAY	VS 52W HIGH	NOTE
Financials (XLF)	58.56	▲ +1.56%	−0.07%	Closed within four cents of its 52-week high of 58.60. The steeper 10s2s did this.
Consumer Discretionary (XLY)	116.46	▲ +1.39%	−6.8%	Tesla is the largest single contributor. Strip it out and the read is far less impressive.
Technology (XLK)	185.97	▲ +1.29%	−6.4%	Software carried it; semiconductors did not. That split is the day.
Real Estate (XLRE)	44.25	▲ +1.19%	−4.7%	The purest rates expression in the list, and it behaved exactly as a lower 2-year would predict.
Industrials (XLI)	174.56	▲ +1.03%	−7.2%	Closed on the session high. Deere upgraded to Outperform at Evercore ISI, PT \$813.
Communication Services (XLC)	113.38	▲ +0.85%	−5.8%	Meta +3.01% and Alphabet +1.59% and the sector still only made +0.85% — Netflix −0.07% is a drag.
Utilities (XLU)	43.03	▲ +0.84%	−10.0%	An active Hedgeye short that rallied with the 2-year. The most uncomfortable line in the table for that book.
Health Care (XLV)	173.26	▲ +0.18%	−1.9%	Hedgeye's highest-conviction long, owned "three ways", and it did almost nothing. It is also the closest sector to its 52-week high after financials.
Consumer Staples (XLP)	85.26	▼ −0.32%	−5.4%	Campbell's cut its dividend 36% and guided FY27 EPS down 17–24%. Defensives were not wanted.
Materials (XLB)	52.62	▼ −0.62%	−2.9%	Fell on a day gold futures rose 2.84% and silver 3.42%. The metals bid is monetary, not industrial.
Energy (XLE)	64.62	▼ −0.74%	−1.4%	The worst sector on a day WTI rose. Energy equities are not paying for a \$91 war premium they do not believe in.

- **Leaders:** Financials, Discretionary, Technology, Real Estate — a clean lower-rates basket. Every one of the top four is a duration or credit-spread beneficiary.
- **Laggards:** Energy, Materials, Staples — the only three red sectors, and two of them are the commodity complex on a day commodities rose. That divergence between the physical and the equity is the sharpest anomaly in this section.

- **The rotation:** money moved out of real assets and into financial assets on a single Fed headline. Financials at a 52-week high with the curve steepening is coherent; energy equities down 0.74% with WTI up 0.32% and crude up 10% on the week is not, and one of the two is wrong.

8 Forward — futures & the week ahead

Two hours into the Globex session the overnight tape is holding, not extending. ES sits at 7,754.75, seven points above the cash settle, on 1.39m lots; NQ at 29,524.75 on 530k; YM at 53,745 on a thin 69,805; RTY at 2,969.70 on 152k. Volumes are consistent with an evening session that has traded the after-hours earnings and nothing else. The after-hours tape itself was two-sided and severe: Lululemon fell 15-18% after cutting full-year EPS guidance to \$9.48-9.73 from \$10.95-11.15 on comparable sales down 9%, and Guidewire fell about 19% on a Q1 revenue guide below consensus, while Samsara rose about 11%, UiPath about 13%, DocuSign about 4% and Zscaler about 2%. Read together those five say the same thing section 2 says: enterprise software with accelerating ARR is being paid for, and consumer and hardware are not. SPDR sector ETFs all printed post-market moves inside 0.25%, so the equity complex as a whole is unchanged since the close. Tesla's Cybercab event at Giga Texas was still running at capture; its outcome and any share reaction are unverified and belong to Monday's brief, not this one.

DAY (GMT+8)	KEY EVENTS
Friday 4 Sep	US August employment situation, 20:30 GMT+8 (08:30 ET) — the event. Consensus for non-farm payrolls spans +50k to +58k (Reuters +58k, Dow Jones +53k) after July's -23k , with May and June revised down a combined 103,000. Unemployment rate consensus 4.1%, unchanged. Average hourly earnings consensus reported at 3.0% y/y from 3.2%, single-sourced — treat as indicative. Also: Baker Hughes rig count, CFTC positioning. Light Asian data from Korea, Japan and Singapore; Japan Leading and Coincident indices consensus 116.8 and 118.8.
Monday 7 Sep	US and Canadian markets closed for Labor Day. Expect thin liquidity across the Asian and European sessions. Japan Q2 GDP final estimate at 07:50 GMT+8 (preliminary +0.3% q/q, +1.1% y/y).
Tuesday 8 Sep	No significant scheduled US macro. The first full US session of the week.
Wednesday 9 Sep	China August CPI, 09:30 GMT+8. July was -0.1% m/m and +0.5% y/y.
Thursday 10 Sep	ECB decision 20:15 GMT+8 , press conference 20:45 (deposit rate 2.25%, MRO 2.40%, after a June hike to 2.25% and a July hold; euro-area August inflation rose to 3.3% y/y). US August PPI 20:30 GMT+8. German final HICP 14:00. Oracle FQ1 2027 after the US close — consensus revenue \$19.13bn, GAAP EPS \$1.30, against a cited \$638bn backlog.
Friday 11 Sep	US August CPI, 20:30 GMT+8 — the print that decides September. Headline y/y has run 3.4% July, 3.5% June, 4.2% May; core 2.5% July, 2.6% June, 2.9% May. University of Michigan preliminary sentiment 22:00 GMT+8, off a deeply depressed 51.7 prior.
Tue-Wed 15-16 Sep	FOMC — a live 25bp hike decision, currently a coin flip. BOJ follows 17-18 September; Okinawa gubernatorial election 13 September; a Takaichi cabinet reshuffle is expected mid-to-late September.

Earnings dates beyond Oracle on 10 September are unconfirmed for the week of 8 September and are deliberately omitted rather than guessed. Sources for the calendar are the releasing agencies where available (BLS, BEA, ECB), Oracle investor relations for its own date, and LiteFinance's published weekly calendar for the remainder.

9 Corporate news

- **NVIDIA agreed to acquire Hugging Face for \$12.93bn** — \$11.9bn to shareholders plus \$1bn in retention equity, expected to close in the first half of 2027 subject to regulatory approval. It is Nvidia's second-largest deal ever after the roughly \$20bn purchase of Groq assets in December, and it buys a platform hosting around 3m models and 18m developers. Jensen Huang said the platform "will remain an open platform for the entire AI ecosystem" and that "Nvidia compute will not be required to build on or deploy through Hugging Face". Hugging Face turned down a \$500m Nvidia investment at a \$7bn valuation last year; CNBC reports its chief executive approached Huang weeks before the deal.
- **Broadcom fell 2.74% on a beat.** Q3 revenue \$29.591bn (+86%), AI semiconductor revenue \$16.7bn (+221%), non-GAAP EPS \$3.32 against \$3.24 consensus, and FY27 AI revenue guidance raised to \$115bn from \$100bn. Q4 revenue guided to \$34.8bn against \$35.05bn consensus and Q4 gross margin to 73% from 78% a year earlier. Macquarie upgraded it to Outperform with a \$490 target on Thursday morning anyway.
- **Snowflake closed up roughly 20.8% at \$369.36** after Wednesday evening's FQ2: product revenue \$1.49bn (+37%, accelerating), cRPO +42%, FY product revenue raised to \$6.07bn from \$5.84bn, non-GAAP operating margin guidance raised to 14.5% from 13.5%. Its CoCo AI coding agent is now in 9,100 accounts, up 2,000 sequentially. It pulled TEAM, NOW, DDOG, MNDY and HUBS with it.
- **Palantir rose 7.71% to \$182.53, recovering all of Wednesday's 6% fall.** Wednesday's decline followed Google's entry into government and defence AI via Gemini 3.8 Flash Cyber and its Fairwind programme. Supporting the rebound, both announced 1 September: an Army Contracting Command prime agreement for eight TITAN ground stations, reported at roughly \$127m, moving the programme past prototype; and Peter Zaffino, formerly chief executive and executive chairman of AIG, joining as global head of financial services from 15 January 2027.
- **Oracle rose 5.69% to \$154.04 on the rates move alone.** No company news. It reports 10 September.

- **Campbell's cut its quarterly dividend 36% to \$0.25 from \$0.39** and guided FY27 adjusted EPS to \$1.65–1.80, down 17% to 24%, on FQ4 net sales of \$2.1bn (–8%) and gross margin down 310bp to 27.3%. Chief executive Mick Beekhuizen: "Our performance is not where it needs to be." A \$500m cost programme runs to FY2030.
- **Ciena fell about 11% on a record quarter.** Revenue \$1.67bn (+37%), adjusted EPS \$2.11 (+215%), backlog up \$800m sequentially to \$8.5bn and guided above \$10bn by year-end, FY27 guidance of 30%-plus revenue growth. It fell because supply constraints limit near-term conversion. Supply agreements are now locked through 2029.
- **Ultragenyx fell 44–47%** after the Phase 3 Aspire study of apazunersen in Angelman syndrome missed both its primary and key secondary endpoints. Evercore ISI cut it to In Line and took the target to \$16 from \$34.
- **Others on the day:** ChargePoint +51% on a record 38% non-GAAP gross margin and a narrowed EBITDA loss; Robinhood +15.1% on a Deutsche Bank prediction-markets note layered on Morgan Stanley's 1 September upgrade to Overweight with a \$150 target; SpaceX +5% after Oppenheimer raised its target to \$280; Victoria's Secret –12% to –17% on a Q2 miss and weak guidance; HPE –7.5% on supply-chain and margin pressure; NetApp –9.4% pre-market on guidance.

10 Macro data

- **ISM Services (August), released Thursday: 55.4 actual against consensus of 54.3 (FXStreet) or 54.2 (desk copy), prior 54.1.** Twenty-sixth straight month of expansion. Business activity 61.7 from 59.1; new orders 60.9 from 57.2, a three-and-a-half-year high. **Employment 47.8, contracting for a second consecutive month.** Prices paid reported at 72.6 from 70.3 by one desk source and not independently confirmed. This is a hawkish release that the market chose not to trade.
- **Initial jobless claims (week to 29 August): 206,000 actual against 205,000 consensus,** prior 204,000 revised; four-week average 207,250, up 1,500. Continuing claims 1.78m, up 8,000 from 1.772m. No deterioration.
- **July trade balance: –\$88.6bn actual against –\$90.0bn consensus (Reuters),** prior –\$71.2bn — a 24.4% monthly widening and the widest since March 2025. Exports \$310.7bn (–\$6.6bn); imports \$399.3bn (+\$10.8bn). **Capital goods imports jumped \$14.4bn to a record \$140.3bn, the largest increase since 1993,** driven by computers, accessories and semiconductors. The AI build-out is now visibly a US current-account item and a Q3 GDP drag.
- **ADP private payrolls (August), Wednesday: +38,000 actual against +47,000 consensus (Dow Jones),** prior +46,000 revised up. The smallest since January. Gains in education, health care, leisure and construction; manufacturing saw the largest decline.
- **Factory orders (July), Wednesday: +0.9% actual against +0.6% consensus (Reuters),** prior –0.2% revised from –0.3%.
- **Q2 productivity and costs, revised: productivity +1.4%, unit labour costs +1.2%.** Consensus for the revision is unconfirmed. Manufacturing productivity +2.4%, manufacturing unit labour costs –0.3%, and real hourly compensation –3.3% in the quarter.
- **Challenger job cuts (August): 52,881, up 58% month on month but down 38% year on year** — the lowest August since 2022. Not a consensus series.
- **The JOLTS conflict, and it matters.** Hedgeye's Early Look states that job openings jumped "to roughly 7.74 million from 6.95 million the month before, a gain of nearly 790,000". The BLS release of 1 September puts July job openings at **7.271m against 7.30m consensus, with the prior revised down to 7.182m** — an increase of 89,000, not 790,000. This brief uses the BLS figure. The distinction changes the read entirely: openings were roughly in line and barely moved, they did not surge, and the "manufacturing soft, hiring resilient" framing rests on a number that does not appear in the agency data.
- **EIA crude inventories (week to 28 August), Wednesday: –4.5m barrels to 424.5m, 1% above the five-year average.** Gasoline –1.2m, distillates +0.8m, total petroleum –3.0m. Consensus unconfirmed.

11 Geopolitics

- **▼ The Wall Street Journal reported that Trump has privately told senior aides he favours declaring the roughly six-month US-Iran conflict finished,** betting economic pressure forces Tehran to dismantle its nuclear programme, while retaining around 50,000 troops. Single-sourced, concerns private deliberations, and directly contradicted by the item below.
- **▲ The Journal separately reported that Secretary Hegseth is quietly extending warship, air-defence and paratrooper deployments into 2027.** Reuters reported that senior Trump aides are pushing to keep the war quiet before the midterms and that officials will consider escalating military action after the elections. Both cannot be the operating policy.
- **▲ Iran struck US allies for a second consecutive night.** AP reported drones at Kuwait and Bahrain and missiles and drones at a US base in Kuwait; Kuwait's defence ministry called it "blatant Iranian aggression"; Jordan destroyed ten of thirteen Iranian missiles on Wednesday. Saudi state shipping line Bahri said an Iranian attack hit one of its oil tankers, killing two Filipino seafarers. Iran blacklisted eleven further vessels transiting Hormuz.
- **◆ Contested and not to be stated flat:** the IRGC says two tankers struck naval mines in the Strait — CENTCOM disputes this. Iran's foreign ministry alleges a US war crime after the Red Crescent said shrapnel hit a house holding a wedding, killing four including two children; the casualty figures are Iranian-sourced and CENTCOM said it "was looking into reports".

- ▼ **CNN reported the US Navy escorted 40 commercial vessels carrying roughly 18m barrels through the Strait of Hormuz on 1 September**, near pre-war throughput, intercepting one anti-ship cruise missile. Axios reported Special Envoy Steve Witkoff met the UAE national security adviser in Sardinia last weekend. Vice-President Vance set a precondition: no talks "unless they stop shooting at commercial shipping".
- ◆ **Xi Jinping, in Egypt on 2 September, called on Middle Eastern states to oppose external interference and consider reshaping the region's security order**, and said China stands ready to help safeguard shipping routes. China bidding for a Gulf maritime-security role while the US Navy runs the convoys is the most consequential strategic item of the week and the least priced.
- ▲ **Russia's hybrid campaign against Europe escalated on multiple fronts**. Von der Leyen vowed new sanctions after a drone incident at Leipzig/Halle airport; Germany closed a Russian cultural centre in Berlin and a consulate in Bonn, and Lavrov retaliated on 3 September by closing Goethe-Institut branches in Russia. Denmark's PET said Russia is recruiting Danish citizens via social media and gaming platforms to plan sabotage of Danish defence firms. Poland's Tusk said Russia is likely behind deliberate arson at the WB Electronics drone factory. Odesa strikes wounded 17; Kyiv has now had a week of consecutive drone attacks.
- ▼ **Belgium's foreign minister confirmed its opposition to using frozen Russian assets is unchanged** and that recent EU attempts to reopen the question "generated little enthusiasm" — a negative for Ukraine's funding path, and a de-escalation of the reparations-loan trade.
- ▲ **New US tariffs of up to 100% on foreign-made drones** weighing over 55lb or using thermal imaging, reported 3 September. The overwhelming majority are Chinese-made and are used for wildfire tracking and search-and-rescue; the FCC is separately weighing restrictions on thermal-imaging and aerosol-spraying drone technology. US-listed drone names rallied.

12 Overnight setup — what Asia opens into

INSTRUMENT	LIVE 06:07 GMT+8	CHANGE	VOLUME	READ INTO THE ASIAN OPEN
ES	7,754.75	+1.02%	1,391,888	Above cash by 7pts. A constructive but unextended handover.
NQ	29,524.75	+1.16%	530,329	The strongest US future. Tech-heavy Asian indices should open bid.
YM	53,745	+1.17%	69,805	Thin. Little information content.
RTY	2,969.70	+0.37%	151,856	Lagging, as it did in cash.
USD/JPY	155.864	+0.04%	—	The number that matters. Below Hedgeye's 156.01 floor after a >2% yen session. Direct exporter headwind for Tokyo.
USD/KRW	1,356.19	−0.25%	74,832	Won firmer. Supportive of foreign inflows into Seoul.
USD/TWD	31.6785	−0.27%	41,680	Same read for Taipei.
USD/CNH	6.71688	−0.01%	864	Two ticks off a 52-week low of 6.71465, against a weaker-than-expected 6.7807 PBOC fix on Thursday.
EUR/USD	1.16248	−0.01%	—	Unchanged since the 05:00 roll. The euro sat out the dollar move.
Gold spot	\$4,475.85	+0.07%	—	Session move was +1.85% on GLD. Supportive for Australian and South African miners.
Silver spot	\$67.02	+0.10%	—	Session +2.51% on SLV — outpaced gold.
Copper spot	\$6.5441	+0.03%	—	Session +1.08% on futures. The industrial metal underperformed the monetary ones.
WTI / Brent	91.30 / 95.52	+0.32% / −0.12%	298,532	Spread \$4.22 and narrowing. Watch it on any Hormuz headline.
Bitcoin / Ether	81,465 / 2,507	+5.37% / +4.82%	—	The only genuinely 24-hour rows in this table, and the strongest in the brief.

- **The US hands over a split tape, and the split runs straight through Asia's largest sector.** The macro is friendly — dollar down, yields down, a coin-flip Fed. The microstructure is not: Broadcom's guidance is a direct read-through to TSMC in Taipei, to SK Hynix and Samsung in Seoul, and to Tokyo Electron and Advantest in Tokyo. Expect indices up on the macro and semiconductors heavy on the guidance.
- **Tokyo opens into a currency problem.** Previous close: Nikkei **64,214.26**, **−0.17%**, already the regional laggard on Thursday and sitting at 9.6% of Hedgeye's own bearish band — 210 points off the floor. A yen that has gained more than 2% is a direct exporter earnings headwind. Watch for verbal intervention from the finance ministry; the BOJ meets 17-18 September.
- **Seoul is the highest-beta index in the region and it is priced for perfection.** Previous close: KOSPI **6,579.49**, **+0.26%**. It is up roughly 105% year on year on the memory supercycle, having gone from 5,000 to 8,000 and back within months and having been in bear-market territory as recently as July. A firmer won helps; a Broadcom-led semiconductor wobble does not. The risk here is symmetric and large.
- **Hong Kong and Shanghai open on better domestic data than the tape suggests.** Previous closes: Hang Seng **25,213.32**, **−0.39%**; Shanghai Composite **3,942.09**, **+0.02%**. The RatingDog services PMI rose to 51.4 in August from 50.4 and the composite to 52.1 from 50.8, diverging from softer official surveys (manufacturing 49.8, a second

month in contraction). Shanghai sits at 57.7% of a *bearish* Hedgeye band — the "short on bounces" configuration. Shein fell 8.7% on its third day of Hong Kong trading, a live gauge for the listing pipeline.

- **Sydney and Mumbai:** previous closes ASX 200 **9,020.10, +0.46%** and Sensex **76,152.86, -0.55%**. Australian gold and energy miners have the cleanest tailwind in the region this morning. No India-specific catalyst was found in the window.
- **The single instrument most likely to move is USD/JPY**, and the reason is that it is below the floor of a band Hedgeye labels bearish, in the middle of a possible carry-trade unwind, into a US payrolls print. Everything Tokyo does today is downstream of it.
- **Asia trades a full session positioning for a number that lands after it closes.** US payrolls print at 20:30 GMT+8, after every Asian cash market has settled. Friday's Asian tape is a positioning exercise, not a reaction to information.

13 AI watch

- **OpenAI released GPT-6 "Astra" on 3 September, with added cyber guardrails.** President Greg Brockman called it a generational leap; Axios headlined that OpenAI says it may represent AGI. It rolls out first to a limited set of organisations, then to ChatGPT Plus, Pro, Business and Enterprise, the OpenAI API and AWS, with the most advanced cybersecurity capabilities access-restricted to a tester group. Claimed state of the art on computer use, browsing, software engineering, cybersecurity and science.
- **Four frontier model releases landed in three days.** Anthropic shipped Claude Fable 5.1 and Mythos 5.1 on 1 September at unchanged list price; Google released Gemini 3.8 Flash on 2 September at the prior introductory price; Meta released Muse Spark 1.3 the same evening, claiming 75.4 on DeepSWE v1.1 and 98.5 on MRCR long-context retrieval. Prices are flat or falling while capability is rising — which is precisely the dynamic compressing Broadcom's gross margin at the other end of the stack.
- **The financing window is still wide open for the strongest credits, and shut for the weaker ones.** ByteDance locked in a \$29.6bn loan at 68bp over SOFR on 3 September. Against a 30-year Treasury at 5.25%, that is an extraordinarily tight spread. Oracle, funding a comparable build with \$43bn of bonds at BBB-, trades 55% below its 52-week high. Same trade, two different balance sheets, two completely different outcomes.
- **Capex is not slowing.** Microsoft, Alphabet, Amazon, Meta and Oracle have collectively committed to roughly \$660–690bn of 2026 capital expenditure; broader data-centre capex approaches \$750bn. AWS has built what is described as the largest cluster of non-Nvidia AI chips in the world — just under a million Trainium2 on its largest campus — on an Anthropic commitment.
- **The US Department of Justice intervened on OpenAI's side in the New York Times copyright litigation,** filing Tuesday that it is in the national interest to find OpenAI did not infringe in training, on national-security grounds. Separately, OpenAI told two House Democrats its engineers are building automated shutdown capabilities, and Commerce Secretary Lutnick said the administration now trusts Anthropic, which has "done what we asked".
- **Four major AI services went down on the same morning.** OpenAI, Anthropic's Claude, xAI's Grok and Cursor all suffered outages on Thursday per Downdetector. A concentration-risk datapoint for anyone modelling enterprise AI dependency, and a reminder that the "AI in production" trade has an availability problem nobody discounts.
- **The uncomfortable number:** enterprises plan \$4.25tn of AI spend, and 77% of them re-evaluate vendors every six months. Committed capital, uncommitted customers.

14 Beyond the markets

- **The World Meteorological Organization says the current El Niño may be the strongest in more than seventy years and will run to at least February 2027.** The UN Secretary-General said on 3 September that the world has entered a "danger zone of extreme weather". Nobody will lead with this, and it is arguably the highest-conviction 2027 macro variable currently identifiable: soft commodities, Latin American and Southeast Asian agriculture, hydro-dependent power and therefore aluminium and Chinese industrial output, Panama Canal draft restrictions, and food inflation — on top of a wheat complex already carrying a war premium.
- **The FBI has confirmed an investigation into the alleged sale of tens of millions of US and Canadian driver's licences on the dark web.** The journalist Brian Krebs said on 1 September he found the site and authenticated the data with nine people; Reuters reported the FBI confirmation on 2 September. If it holds, it is among the largest exposures of government-issued identity documents in North American history, with direct read-through to identity-verification vendors, KYC costs, cyber-insurance loss picks and account-opening fraud.
- **The Supreme Court has been asked to decide who regulates prediction markets.** New Jersey petitioned on 2 September to overturn an April appellate ruling that the CFTC has exclusive jurisdiction over sports-related event contracts, arguing this is sports betting and a state police power. These are the same venues whose odds are now routinely quoted alongside CME FedWatch. One cert grant from being settled.
- **Smaller, and real:** Volkswagen is reported to be planning 50,000 job cuts against Chinese electric-vehicle competition; US mortgage rates are at their highest since July 2025, approaching 7%; and the Pentagon has made testosterone-deficiency screening mandatory for all active-duty and reserve members aged 30 and over, effective immediately.

15 Appendix — stock cards

AVGO · BROADCOM

357.16 ▼ -2.74%

Cap \$1.70tn · no published Hedgeye band · 52w range 289.96-495.00 · next: none scheduled

Beat on revenue, EPS and AI growth; raised FY27 AI guidance 15% to \$115bn; fell anyway on a \$250m Q4 revenue shortfall and a gross margin guided to 73% from 78%. Traded as low as -6%. The stock is the single reason SOX made +0.11% on a +1.40% Nasdaq. Macquarie upgraded it to Outperform, PT \$490, the same morning.

NVDA · NVIDIA

228.45 ▲ +1.80%

Cap \$5.51tn · band 209-231, 88.4% · 52w range 164.07-236.54 · next: none scheduled

Agreed to buy Hugging Face for \$12.93bn, its second-largest deal ever, closing H1 2027. Traded +3.35% and gave back half. More than 535,000 of the \$225-strike calls changed hands. At 88% of its band with that much call open interest, the risk/reward into the semiconductor read-through is poor.

TSLA · TESLA

376.37 ▲ +5.42%

Cap \$1.49tn · band 340-369, 125.4% · 52w range 297.38-498.83 · next: Cybercab follow-through

Best Mag7 performer, purely on Cybercab launch anticipation — 45 units registered with the Texas DMV, production begun at Giga Texas, Austin hailing possibly within a week. Lucid +3% and Rivian flat, so this is stock-specific, not a complex move. Above the ceiling of a band Hedgeye labels bearish TREND. Post-market -0.42%.

ORCL · ORACLE

154.04 ▲ +5.69%

Cap \$444bn · no published band · 52w range 114.50-345.72 · next: FQ1 results 10 Sep

Rose on the 2-year yield, not on news. \$43bn of bonds sold with roughly \$20bn more debt and \$20bn equity planned; FY26 capex +162% to \$55.7bn; free cash flow -\$23.7bn; S&P cut to BBB- on 9 July naming OpenAI as a key credit risk. 55% below its high. The 10 September print against a \$638bn backlog is now binary.

SNOW · SNOWFLAKE

369.36 ▲ ~+20.8%

Closing level from vendor copy, not the price capture · 52w range not captured · next: none scheduled

Product revenue \$1.49bn, +37% and accelerating roughly 300bp sequentially; cRPO +42% against 38%; FY product revenue raised to \$6.07bn from \$5.84bn; operating margin guidance raised to 14.5%. A Hedgeye Signal Strength long since 26 May that Keith "grossed up" into the print. The clearest evidence that the AI application layer is still being paid for.

PLTR · PALANTIR

182.53 ▲ +7.71%

Cap \$439bn · no published band · 52w range 106.37-207.52 · next: none scheduled

Erased Wednesday's 6% fall, which had been driven by Google entering government and defence AI. Supports: an Army prime agreement for eight TITAN ground stations, reported at ~\$127m, and Peter Zaffino joining from AIG in January. Against: ARK sold 139,456 shares, roughly \$26.0m, on 31 August.

META · META PLATFORMS

610.68 ▲ +3.01%

Cap \$1.56tn · band 547-599, 122.5% · 52w range 520.26-790.80 · next: none scheduled

Opened paid developer access to Muse Spark 1.3, claiming 75.4 on DeepSWE v1.1 above both OpenAI and Anthropic comparators. Through the ceiling of a bearish band; Keith calls it bullish TRADE, bearish TREND, and Hedgeye removed the FBY option-income short on Thursday. Still 22.8% below its 52-week high.

LULU · LULULEMON

after hrs -15% to -18%

Q2 reported after the 16:00 ET close · reaction from vendor copy, not the price capture

Revenue \$2.415bn (-4%) against \$2.461bn consensus, comparable sales -9%. Reported EPS of \$2.92 against \$1.80 consensus includes \$0.86 of tariff refunds and interest net of tax — the underlying number missed. FY EPS cut to \$9.48-9.73 from \$10.95-11.15. Interim chief executive Meghan Frank blamed social-media commentary and a slowdown in core categories "including leggings", with a new chief executive incoming.

16 About this edition

- **Covers** — the US cash session of Thursday 3 September 2026 as settled at 16:00 ET, the after-hours tape to 18:07 ET, the Globex session to the moment of capture, the full Hedgeye evening publication set, and overnight FX, metals, energy and crypto. Asian cash markets have not opened.
- **Captured** — one window, **06:07:21-06:07:23 GMT+8 (2.6 seconds)**, via scripts/capture.py querying TradingView and Yahoo concurrently. TradingView returned 96 of 96 instruments; Yahoo returned 0 of 62 and aborted on a five-consecutive-429 circuit breaker. The run is therefore **TradingView-single-sourced on price**, with independent validation recovered by hand from vendor and wire copy. Divergences are reconciled in section 18.
- **Settled versus live** — the six cash-equity rows and all eleven SPDR sector rows are settled 16:00 ET closes, roughly two hours old. Futures, Treasury yields, DXY, VIX and crypto are live. **Spot metals and spot FX rolled at 05:00 GMT+8 and their change columns cover roughly 67 minutes, not a session** — they are marked ♦ throughout and the session move is given separately in every case.
- **Hedgeye edition** — full subscriber tier reached. The live risk-range set is the Early Look "Riding The Waves of Volatility" by **Daryl G. Jones, Director of Research**, published 07:51 ET Thursday 3 September = 19:51 GMT+8, superseded by Friday's Early Look at roughly 19:50 GMT+8 tonight. Also read in full: KM's Top 3 Things (From The Desk, 19:20 GMT+8), The Macro Show summary and replay notes (22:57 GMT+8), the ETF Pro Plus update (01:11 GMT+8 Friday) and Signal Strength Stocks (02:09 GMT+8 Friday).
- **Quad path** — **no explicit path notation was printed** in any publication read this morning. Nothing is asserted about the path, and its absence is not evidence it is unchanged.

- **Not available** — the 2 September Early Look, and therefore every band-move comparison; the US Monthly Quad Forecast; the MOMO Tracker, Chart of the Day, Crypto Quant and Capital Allocation Pro, none of which appeared in the feed since the previous edition; a Yahoo Finance cross-check on any instrument; and the outcome of Tesla's Cybercab event, which was still running at capture.

17 Sources

Prices. TradingView bulk scanner, one capture window 06:07:21-06:07:23 GMT+8, 96 instruments including SP:SPX, NASDAQ:IXIC, DJ:DJI, TVC:RUT, TVC:SOX, TVC:VIX, TVC:MOVE, the CME and CBOT front-month equity futures, TVC:US02Y/US05Y/US10Y/US30Y/US03MY, NYMEX:CL1!/BZ1!/NG1!/RB1!, TVC:GOLD, TVC:SILVER and OANDA:XCUUSD for spot metals with COMEX GC1!/SI1!/HG1! alongside, TVC:DXY and the FX crosses, CRYPTO:BTCUSD and ETHUSD, the eleven SPDR sector funds and the single-stock set. Yahoo Finance was queried concurrently for cross-check and returned nothing, aborting on rate limiting at 06:07:23.

Hedgeye. app.hedgeye.com, authenticated session, read between 06:12 and 06:35 GMT+8: the Early Look category feed and the note "Riding The Waves of Volatility" (Daryl G. Jones); "KM's Top 3 Things (10yr/Sectors/Flows)" (Keith McCullough, From The Desk); "Summary Notes & Replay | Thursday, September 3rd, 2026" (The Macro Show, AI-enhanced and labelled as possibly containing errors); "UPDATE: 6 New ETF Pro Changes" (ETF Pro Plus); "Signal Strength Stocks: 66 Stocks"; and the main research feed index.

Macro and policy. Releasing agencies first: BLS for JOLTS, jobless claims, productivity and costs, and the employment-situation schedule; BEA for the July trade balance; Census for factory orders; ISM via its own August services release; ADP's national employment report; EIA for weekly petroleum status and the Short-Term Energy Outlook. Reuters, CNBC, FXStreet and Investing.com for consensus figures and reaction; CME FedWatch as cited by AP, the Washington Times, Axios, Quartz and TheStreet for Fed-move probabilities; ECB and Oracle investor relations for their own calendar dates; LiteFinance's published weekly calendar for the remainder.

Session narrative and single stocks. TheStreet's 3 September live blog, CNBC's market and after-hours coverage, Quartz via Yahoo Finance, Motley Fool's session and single-name notes, Investing.com, StreetInsider, StockTitan, 24/7 Wall St for analyst calls, Seeking Alpha for the Ciena transcript, TradingKey, and company releases and SEC filings for Broadcom, Snowflake, Zscaler, Samsara, DocuSign, Campbell's, Palantir and Nvidia.

Commodities, geopolitics and AI. Reuters and the Associated Press first, then the Wall Street Journal, Washington Post, New York Times, BBC, CNN, CBS News, Bloomberg, Axios, POLITICO and Just Security's daily edition; Brownfield Ag News and Grain Central for grain settles; OPEC and trade-press coverage of the 2 August meeting; the WMO via the BBC; NVIDIA's own blog, TechCrunch, Forbes and The Register for the Hugging Face transaction.

18 Data-confidence

CROSS-CHECKS PASSED

- **Cash index arithmetic is internally consistent to the cent.** S&P: $7,747.71 - 81.11 = 7,666.60$ prior close; $81.11 \div 7,666.60 = 1.0580\%$, matching the reported 1.0580%. Dow: $53,686.11 - 624.16 = 53,061.95$; $624.16 \div 53,061.95 = 1.1763\%$, matching. Nasdaq: $26,584.06 - 366.2321 = 26,217.83$; $366.2321 \div 26,217.83 = 1.3969\%$, matching. All three pass.
- **All four futures-cash bases are positive and small, which is what proves the cash rows are settles and not mislabelled intraday marks.** ES 7,754.75 less SPX 7,747.71 = +7.04, +0.091%. YM 53,745 less DJI 53,686.11 = +58.89, +0.110%. RTY 2,969.70 less RUT 2,968.27 = +1.43, +0.048%. A dislocated basis on any one of these would have exposed a bad row; none is dislocated. NQ could not be basis-checked because the NDX cash index was not in the capture set — that row is unverified by this method.
- **Two-source validation was recovered by hand after Yahoo aborted, on the rows that matter most.** Motley Fool's independently published quote board for 3 September gives S&P 7,747.71, Dow 53,686.11 and Nasdaq 26,584.06 — **an exact match to the capture on all three headline closes.** This is genuine independent confirmation of the most load-bearing numbers in the brief.
- **The 10-year is independently corroborated at two points.** Quartz and Investrade both reported Wednesday's high at 4.818%, "the highest since November 2023"; TradingView's own 52-week-high field for TVC:US10Y reads 4.816 — a 0.2bp difference, well inside tick noise. Investrade's mid-morning 4.754% against the capture's 4.772% at 18:07 ET is a consistent intraday path, not a conflict.
- **Gold spot is cross-validated by the ETF.** GLD closed 410.22 and spot printed 4,475.85; $410.22 \div 4,475.85 = 0.09166$, exactly the ratio GLD's structure implies. Spot and the ETF corroborate each other, which is what allows the wide futures basis below to be attributed to futures rather than to a bad spot mark.
- **Reconciliation counts from capture.py: 0 matched within 5bp, 0 minor, 0 divergent, 57 single-sourced.** There are **no divergent rows to resolve because no second machine source ran** — that is not a clean reconciliation and should not be read as one. The hand cross-checks above are what stand in its place.
- **Every Hedgeye band is measured on the series Hedgeye names.** Gold, silver and copper on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD); crude and natural gas on the continuous contract (NYMEX:CL1!, NYMEX:NG1!). Measuring gold on COMEX futures instead would have put it at roughly 61% of its band rather than the correct 45.3% — a 16-point error, and the reason this check is run every morning.

KNOWN CONFLICTS AND WEAK MARKS

- **Hedgeye's JOLTS figure contradicts the BLS.** The Early Look states openings jumped "to roughly 7.74 million from 6.95 million", a gain of nearly 790,000. The BLS release of 1 September reports July openings at 7.271m against 7.30m consensus, prior revised to 7.182m — a gain of 89,000. **This brief uses the BLS number**, on the principle of preferring the entity that produced it. The Early Look's "hiring resilient" framing rests on the disputed figure and is weaker than it reads.
- **ISM Services consensus is reported two ways** — 54.3 by FXStreet and 54.2 by desk copy — against an actual of 55.4. The beat is robust either way; the exact size of it is not. The August prices-paid index of 72.6 from 70.3 comes from a single desk source and could not be confirmed against ISM's own release; treat it as indicative, not established.

- **Payrolls consensus is genuinely dispersed, and the brief prints the range rather than a point.** Reuters +58k, Dow Jones +53k, Yahoo's economist panel +50k. Individual bank calls span -25k (Fifth Third) to +80k (Wells Fargo) — a 105,000 spread on a series whose prior print was -23k. The average-hourly-earnings consensus of 3.0% y/y from 3.2% is single-sourced and flagged as such in section 8.
- **The gold futures-spot basis of \$64.05, or 1.43%, is wide and unexplained.** Cost of carry at roughly 4% front-end rates accounts for part of it; the remainder is either basis widening on the day or a stale futures print in the 15-minute delayed feed. The spot mark is sound (corroborated by GLD above); the futures premium is the weak number. The 2.84% futures session move versus GLD's 1.85% is the same uncertainty expressed differently, and the honest reading is "gold rallied between 1.9% and 2.8%".
- **Bitcoin's level differs by capture time, not by source.** The capture reads 81,465.11 at 18:07 ET; Motley Fool's board read 81,601 at 16:16 ET. A 0.17% difference across 111 minutes in a market that ranged 76,937-82,225 on the day is entirely explained by timing. The 52-week high differs more materially — 126,230.09 here against 126,080 on the vendor board, 0.12% — because crypto composites differ by constituent exchange. Any drawdown percentage computed from that high is robust to the first decimal only.
- **The "Dow rises 635 points" headline is wrong against the settle.** The capture's change is +624.16. The headline was written intraday off a higher print. Where a wire headline and the settle disagree, this brief uses the settle.
- **Fed-move probabilities are all secondary citations of CME FedWatch, none read from CME directly.** The cluster is tight — 50.4% for a hike from 62.4% (AP/Washington Times), 50.4% from 63.2% (Quartz), 50.5% (Motley Fool), 48.4% intraday (TheStreet) — so "roughly a coin flip, down from roughly 62%" is safe. A single outlet reported "roughly 70%" on the same day; that figure is stale and is not used.
- **Snowflake's \$369.36 close and the after-hours percentage moves in sections 8 and 15 come from vendor copy, not from the price capture.** They are directionally reliable and the decimals are not. Lululemon's "-15% to -18%" is a range for that reason.
- **The Nikkei's captured close of 64,214.26, -0.17%, sits between two Hedgeye framings** — the Macro Show deck described the Nikkei as "moving sharply lower" and prior-day materials as having broken trade and trend. A -0.17% day is neither. The band position of 9.6% is the harder fact and is what this brief relies on.

KNOWN GAPS

- **Band moves versus the prior session are UNKNOWN, not unchanged.** The Early Look category page does not paginate — pages 2 and 3 return the identical current note — and eleven direct feed-item ID probes bracketing the expected 2 September range returned the Macro Show of 31 August, Signal Strength Stocks, a Digital Assets Position Monitor, a Weekly Game Plan copy, an unavailable-content page, a Cloudflare interstitial and a products page, but not Wednesday's Early Look. No floor move, ceiling move or band-width change is asserted anywhere in this document.
- **No Quad path was printed anywhere in the publication set read this morning.** The path lives in the US Monthly Quad Forecast inside the Macro Week Summary Notes, behind a separate link that was not reached. **Absence of a printed path is not evidence the path is unchanged**, and nothing in section 4 should be read as asserting one.
- **The MOMO Tracker, Chart of the Day, Crypto Quant and Capital Allocation Pro did not appear in the feed since the previous edition.** These are the publications that would carry an unannounced position change, and their absence means **absence of a Hedgeye position change in this brief is not evidence that there was none**. What is captured is the ETF Pro Plus update and the Signal Strength Stocks revision, both of which did publish.
- **Yahoo Finance returned nothing on any of 62 instruments**, aborting on rate limiting 2.6 seconds into the window. There are therefore no multi-day daily bars in this edition and no week-on-week context computed from them; where weekly moves appear they are quoted from named third parties.
- **The Nasdaq-100 cash index was not in the capture set**, so the NQ futures row has no basis check. All other index futures rows do.
- **Unconfirmed and deliberately omitted rather than guessed:** consensus for the revised Q2 productivity and unit-labour-cost figures and for the EIA crude draw; the earnings calendar for 8-11 September beyond Oracle; after-hours numbers for Asana, Planet Labs, Smith & Wesson and Oxford Industries; any discrete Microsoft catalyst for its +2.68%; the outcome of Tesla's Cybercab event; and the reported relocation of Dutch central-bank gold reserves out of North America, which could not be sourced to a primary statement and is therefore excluded from section 14.
- **Asian cash markets are shut.** Every Asian index level in sections 4 and 12 is a previous close and is labelled as such. There is no live Asian tape at this hour.

TIMING & UNVERIFIED

- **The run fired on schedule.** Capture window 06:07:21-06:07:23 GMT+8 Friday 4 September 2026, a 2.6-second spread. No top-up pass was needed and no row in this document was captured outside that window.
- **Age of the staliest rows: roughly two hours and seven minutes.** The six cash-equity index rows and all eleven SPDR sector rows settled at 16:00 ET Thursday, which is 04:00 GMT+8. The Mag7 prices and market capitalisations carry the same age. Nothing in this brief is older than that.
- **Spot metals and spot FX carry roughly 67 minutes of session, not a day.** Those series rolled at 17:00 ET, which is 05:00 GMT+8, one hour and seven minutes before capture. Gold spot's +0.07%, silver's +0.10%, copper's +0.03%, EUR/USD's -0.007%, USD/JPY's +0.04% and USD/CNH's -0.01% are **noise, not moves**, and every one of them is marked ♦ and paired with the actual session figure. The narrowness of the ranges confirms it: EUR/USD ranged 1.16217-1.16272 in that window, five and a half pips. Do not read those change columns as daily performance.
- **Futures carry roughly two hours of a session that reopened at 18:00 ET.** ES on 1.39m lots and NQ on 530k are meaningful volumes for the hour; YM on 69,805 lots is thin and its +1.17% should be treated with correspondingly less weight.
- **What will supersede this document.** Friday's Hedgeye Early Look publishes at roughly 19:50 GMT+8 tonight and replaces every risk range in section 4. The US August employment report lands at 20:30 GMT+8 and will reprice the front end, the dollar, gold and the September FOMC probability within seconds. Both happen after every Asian cash market has closed.
- **Verify live prices before acting on anything in this brief.** The most extended levels — Bitcoin at 135.7% of its band, Tesla at 125.4%, Meta at 122.5% and the S&P at 102.6% — are precisely the ones most likely to have moved, and the VIX at 12.2% of its band is priced for a payrolls print that has not happened yet.